

IBOR Reform: what preparations do banks still need to make?

Conference on Benchmark Rates Reform
London, March 2019

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Managing Director and Head of Fixed Income, AFME

- “Work must begin in earnest on planning transition to alternative reference rates that are based firmly on transactions.”
 - [Andrew Bailey, FCA, July 2017](#)
- “ ...the discontinuation of LIBOR should not be considered a remote probability 'black swan' event. Firms should treat it as something that will happen and which they must be prepared for ... ”
 - *Andrew Bailey, FCA, July 2018* [Andrew Bailey, FCA, July 2018](#)
- “We request a board-approved summary of your firms’ assessment of key risks relating to Libor-discontinuation and details of actions you plan to take... and that you identify a Senior Manager within your firm who will oversee the provision of your response to this letter and the implementation of its transition plans.”
 - ["Dear CEO" letter](#) *from the Bank of England and FCA, September 2018*

As of 1 January 2018:

- Application of Benchmark Regulation 2016/1011 (the “BMR”)
- Fallbacks (Article 28.2 & ESMA Q&A)

Pre-31 December 2021 (was 1 January 2020):

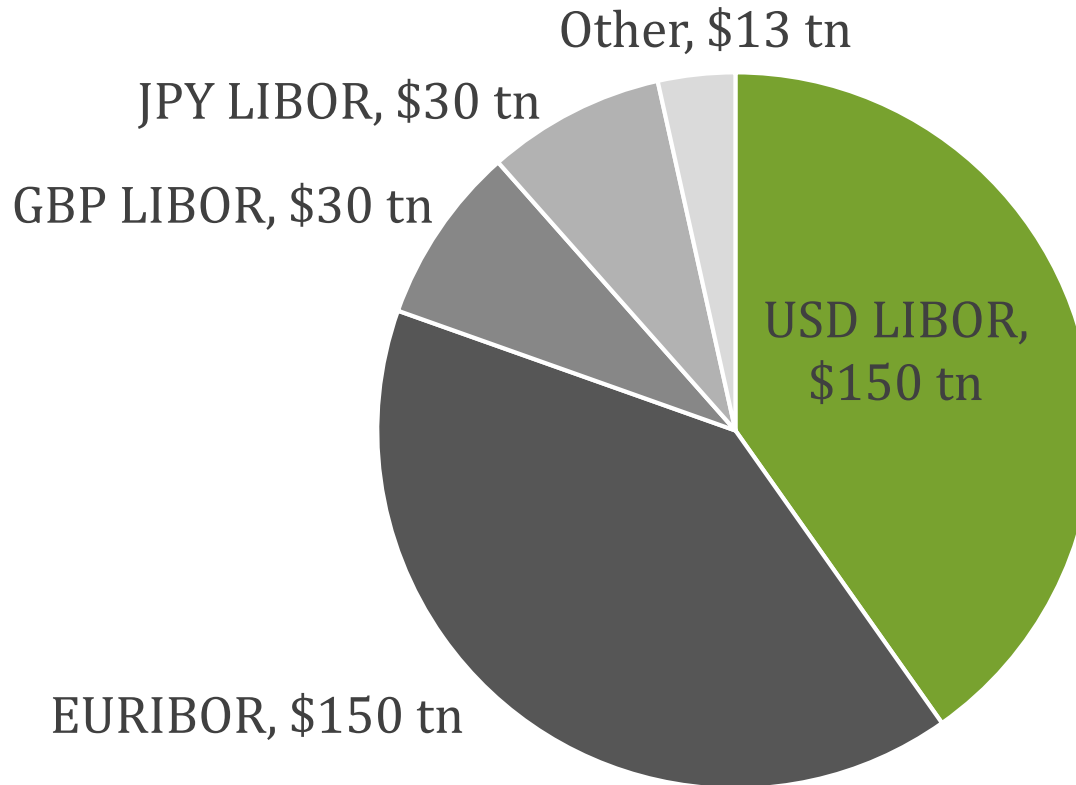
- Benchmark users can continue to use existing benchmarks (Article 51.3)

Post-31 December 2021 (was 1 January 2020):

- Benchmark users can only use compliant benchmarks
- Relevant NCA decides on grandfathering of non-compliant benchmarks for use in legacy contracts if certain conditions are met (Article 51.4)

Total IBOR market exposure = > \$370 trillion

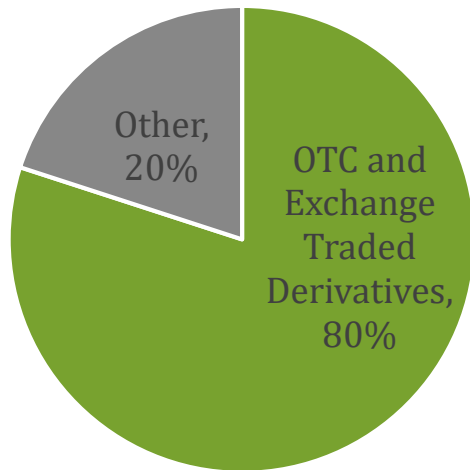
**Notional Amount Outstanding by IBOR
(all products)**



Source: Market Participants Group
on Reforming Interest Rate
Benchmarks – Final Report (July
2014)

Typical contracts based on IBORs

% Notional Outstanding of
all financial contracts linked
to IBORs



- OTC derivatives: interest rate swaps, FRAs, cross-currency swaps.
- Exchange-traded derivatives: interest rate options, interest rate futures.
- Loans: syndicated loans, business loans, mortgages, credit cards, auto loans, consumer loans, student loans.
- Bonds and FRNs: corporate and non-US government bonds, agency notes, leases, trade finance, FRNs, covered bonds, capital securities, perpetuals.
- Short-term instruments: repos, reverse repos, time deposits, CDS, commercial paper.
- Securitisations: MBS, ABS, CMBS, CLOs and CMOs.
- Other: late payments, discount rates, overdrafts.
- **Around €2.5 trillion of bonds and FRNs and €1.2 trillion of securitisations linked to GBP LIBOR/EURIBOR outstanding**

Source: Market Participants Group on
Reforming Interest Rate Benchmarks,
and AFME

Successful market adoption of alternative RFRs requires input from many different disciplines

Governance and controls

Institutions must have robust governance and controls to manage transitioning of contracts to alternative RFRs.

Accounting

The transition may result in complications related to fair value designation, hedge accounting and inter-affiliate accounting structures.

Tax

The transition may result in changes in the amount of taxes due or acceleration of payments on financial contracts or tax structures.

Regulatory

Requirements under existing regulatory regimes may make the transition to alternative RFRs more difficult (if not modified).



Liquidity

Liquidity in the derivatives market referencing the alternative RFRs is crucial. Such liquidity will also be necessary for development of term structures based on the alternative RFRs.

Valuation and risk management

Transition of legacy contracts could potentially result in less effective hedges and/or market valuation issues; may require adjustments to address differences.

Infrastructure

Significant challenges may arise when the required institutional infrastructures (data, systems and operational procedures) are established to support the transition to the alternative RFRs.

Legal

Contract amendments may lead to increased transition costs and operational risk. A significant administrative effort associated with transitioning contracts to the alternative RFRs may be required.

Sterling (Secretariat provided by Bank of England)

WORKING GROUP ON STERLING RISK FREE REFERENCE RATE (STEERING GROUP)

TECHNICAL
SUB GROUP

BOND
MARKETS

TECHNICAL
SUB GROUP

TERM
RATES

TECHNICAL
SUB GROUP

SYNDICATED
LOANS

TECHNICAL
SUB GROUP

PENSION
FUNDS &
INSURANCE
COMPANIES

SONIA
FUTURES

RFR
BUYSIDE
FORUM

RFR
BANKING
INDUSTRY
FORUM

RFR
CORPORATES
FORUM

Euro (Secretariat provided by ECB)

WORKING GROUP ON EURO RISK FREE RATES (STEERING GROUP)

Subgroup on Term Rates

Subgroup on Contractual
Robustness

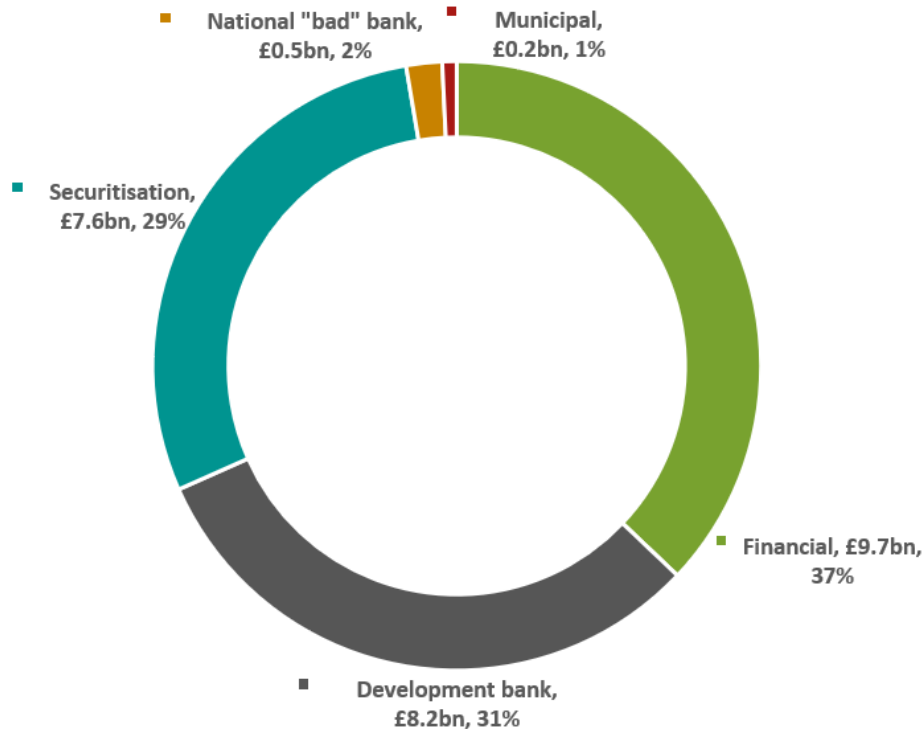
Jurisdiction	Current IBOR	Alternative RFR	Secured / unsecured	Published
Eurozone	EURIBOR	€STR (formerly ESTER) - Euro short term rate	Unsecured	Expected by Oct. 2019
UK	GBP LIBOR	Reformed SONIA - Sterling overnight index average	Unsecured	24 th April 2018
US	USD LIBOR	SOFR - Secured overnight financing rate	Secured	3 rd April 2018

- Recent [minutes](#) of working group on euro risk-free rates confirm:
 - aim is for EURIBOR to be BMR-compliant by end of 2019 *and to continue* due to its key role in retail and mortgage sectors
 - still work on credible alternative benchmarks, but as fallbacks to EURIBOR

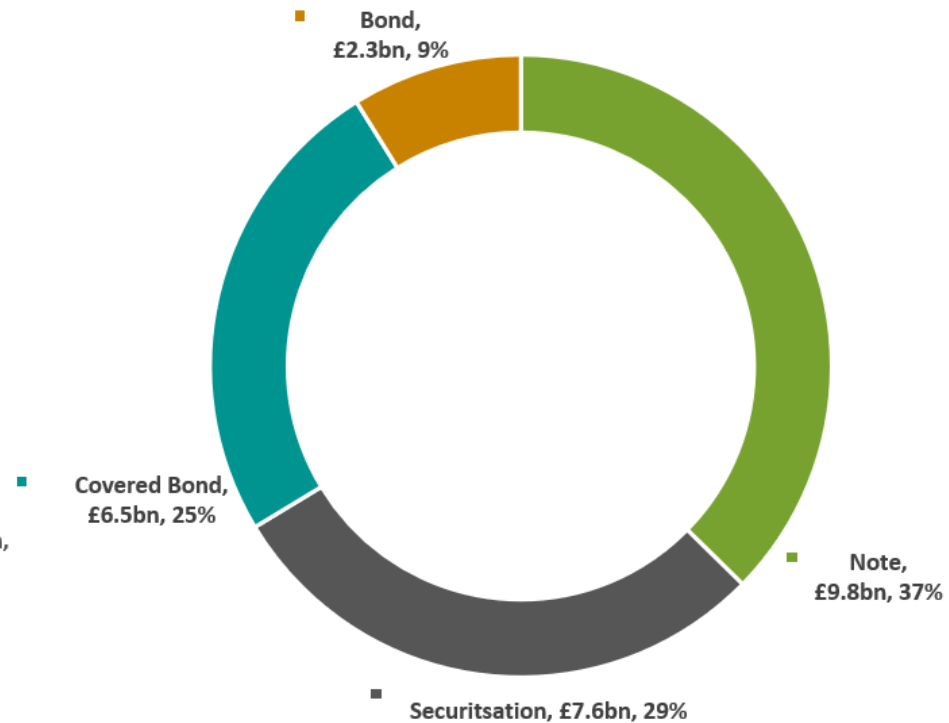
Strong adoption of SONIA in the GBP market ...

- 31 deals to date, amounting to £26.2bn from 21 issuers
- Backward-looking SONIA compounded, plus a fixed spread, calculated 5 days in arrears

Breakdown by issuer type



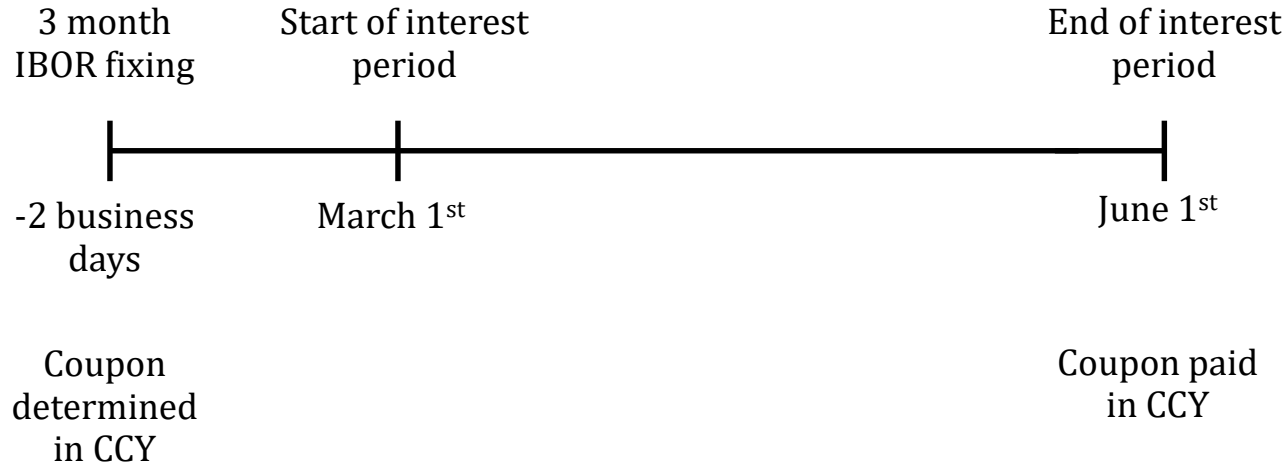
Breakdown by transaction type



- The need for term rates
 - Forward versus backward-looking
- Are existing fallbacks fit for purpose?
- Amending existing documentation and legacy transactions
- Focus on new issuance
- Market infrastructure
- Ibor in consumer lending

Overnight RFRs are not term rates

Current procedure for 3-month Ibor fixing



Potential future procedure



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Daily overnight rate determined after the fact?

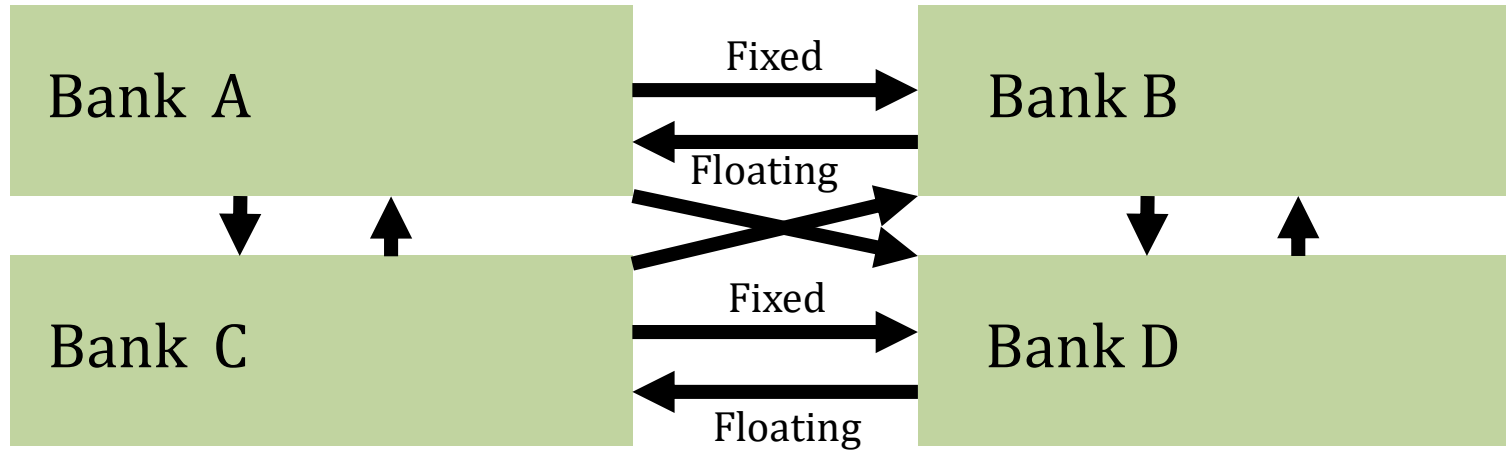
- Bank of England consultation and [summary of responses](#)
- Term rates seen as key for certain cash market sectors
- Need to build up SONIA-referencing derivatives markets to provide a basis for TSRR
- Alternatively, inputs from futures contracts and OIS swaps contracts
- Essential to avoid systemic usage of TSRRs in derivatives markets
- International consistency across currencies desirable

Term rates based on €STR as a fallback for EURIBOR

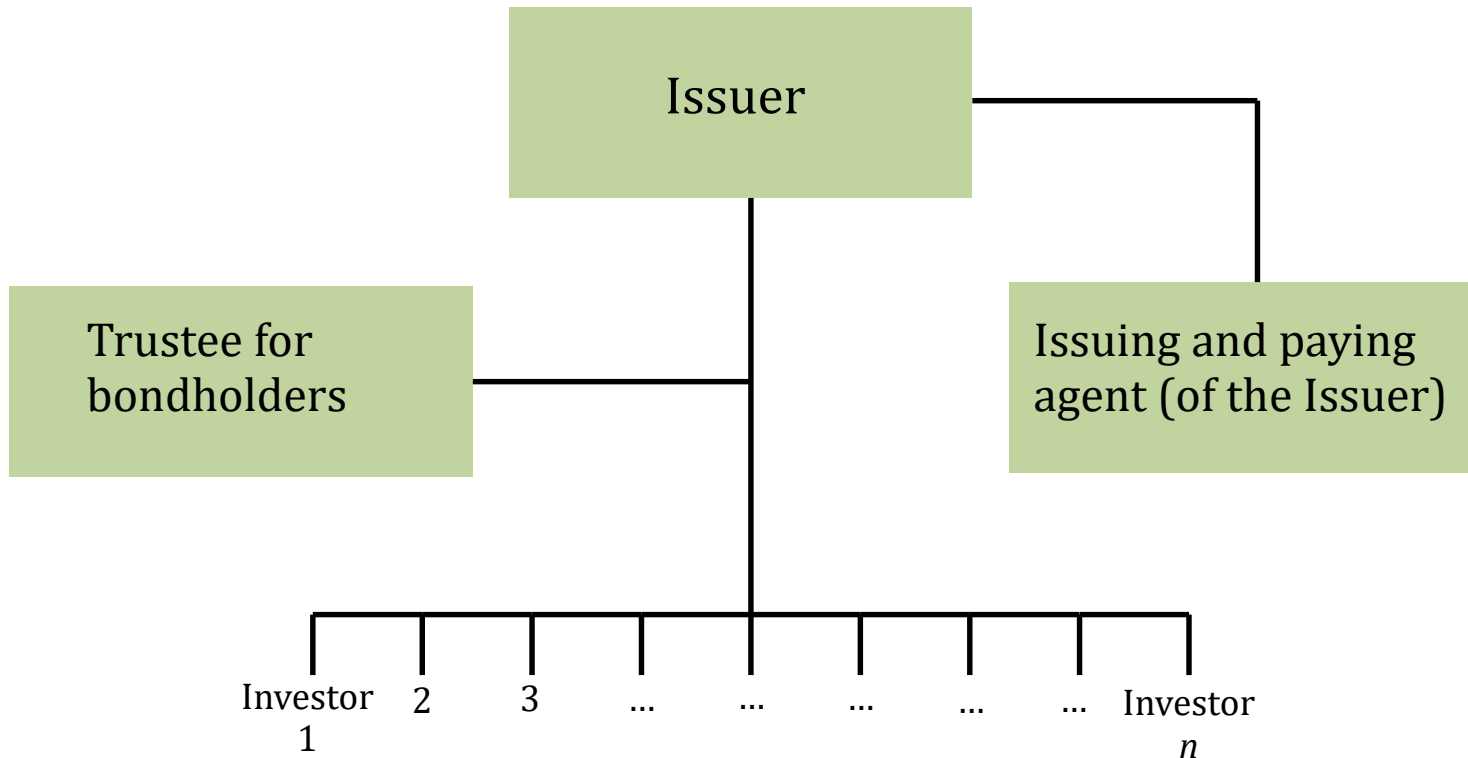
- [Public consultation](#) on €STR-based term structure methodology as a fallback in EURIBOR-linked contracts issued in December for [responses](#) by February 2019
- Report considered different forward-looking methodologies
- OIS quotes-based methodology seen as most viable possible methodology
- Still need to resolve:
 - consistency with ISDA work in derivatives
 - analysis of backward-looking methodologies
 - potential administrators

Existing fallbacks for FRNs if IBOR is not available

- Screen Rate
- Contingency 1: if Screen Rate not available, Calculation Agent requests quote from (say) four major banks in Financial Centre A and uses average
- Contingency 2: if Contingency 1 fails, Calculation Agent takes average of rates quoted from major banks in Financial Centre B
- If both contingencies fail, then typically either:
 - Use IBOR from immediately preceding interest payment date (commonest)
 - Calculation Agent determines IBOR in its own discretion (minority approach)
- In most FRNs, there is no flexibility to use an alternative benchmark and investors will be left with a fixed rate exposure if IBOR ceases to exist and banks decline to quote



- ISDA protocol is a multilateral contractual amendment mechanism which has been used to address changes to ISDA standard contracts since 1998.
- First used in context of EMU.
- For the adhering party, adherence to a protocol eliminates the necessity for costly and time-consuming bilateral negotiations and reduces the number of agreements required.
- BUT the protocol mechanism still requires *consent* – all relevant parties must agree to the change.

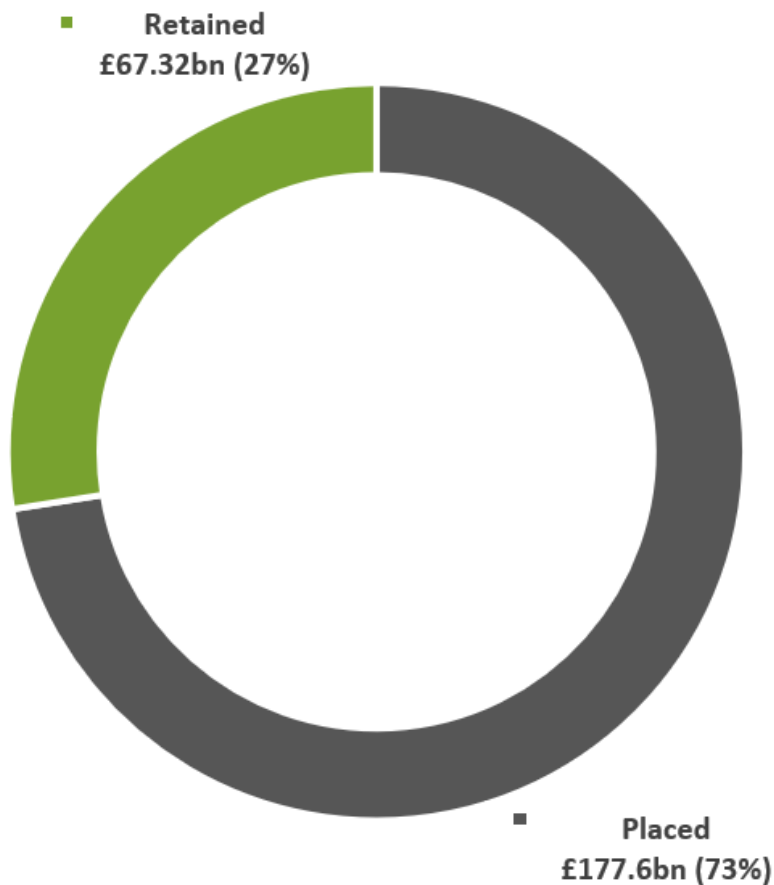


- Eurobonds are bearer instruments: investor identities are not known.
- A bondholders' meeting would be required.
- Attendance is voluntary, a quorum required and a super-majority must vote to change the interest basis.
- There will likely be diverging incentives over value at risk.
- Asset valuations or liabilities for securitisation and covered bonds could change.

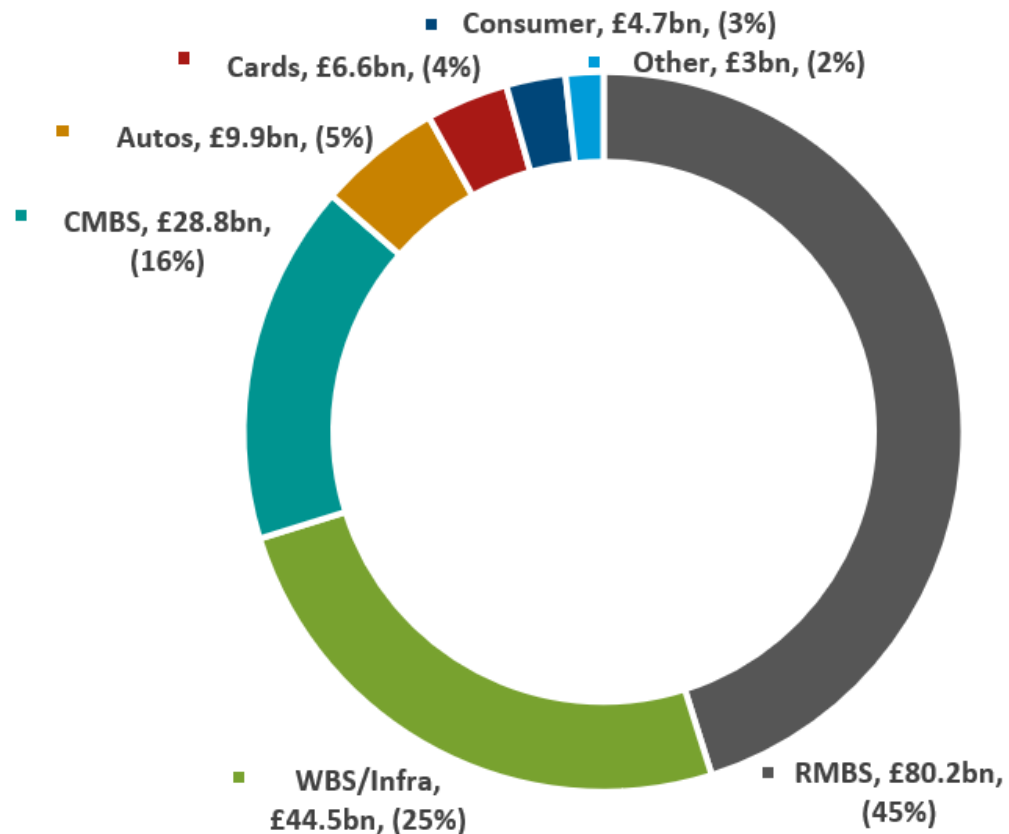
AFME “negative consent” wording for new issue securitisations

- Facilitates change in interest basis without a bondholders’ meeting
 - [AFME negative consent wording for securitisations](#)
- Issuer can effect the change upon certain triggers:
 - Material disruption, change in methodology, existing rate ceases to exist, statement of discontinuation by supervisor or administrator
- Alternative rate adopted with equivalent term, approved by authorities
- Subject to margin adjustment preserving the same rate of interest as if no amendment taken place, subject to:
 - no downgrade by CRAs
 - investor objections not to exceed 10% of outstanding of notes

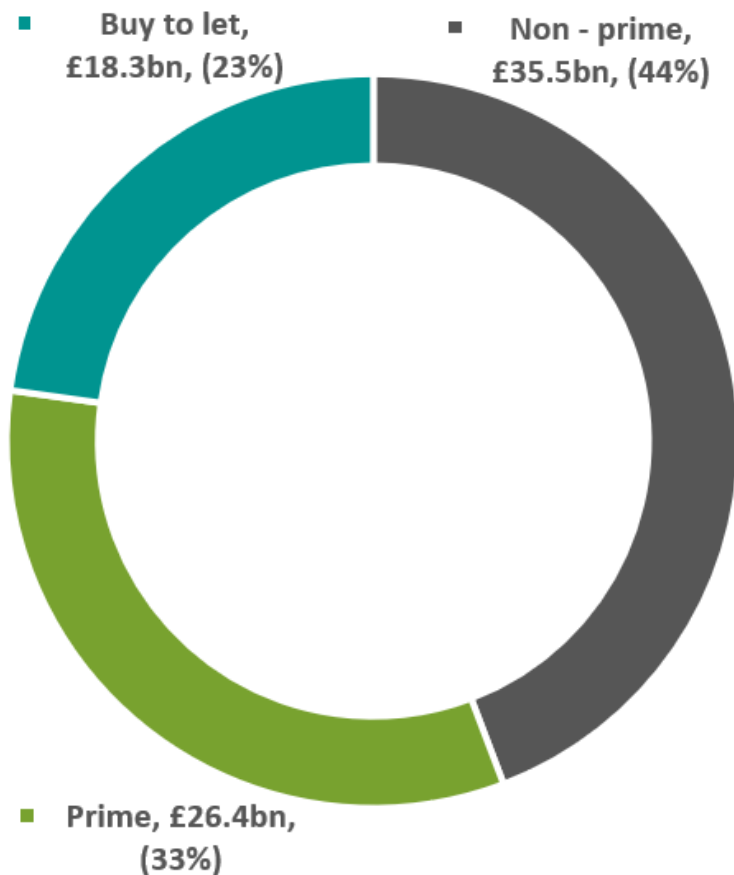
Placed vs retained issuance



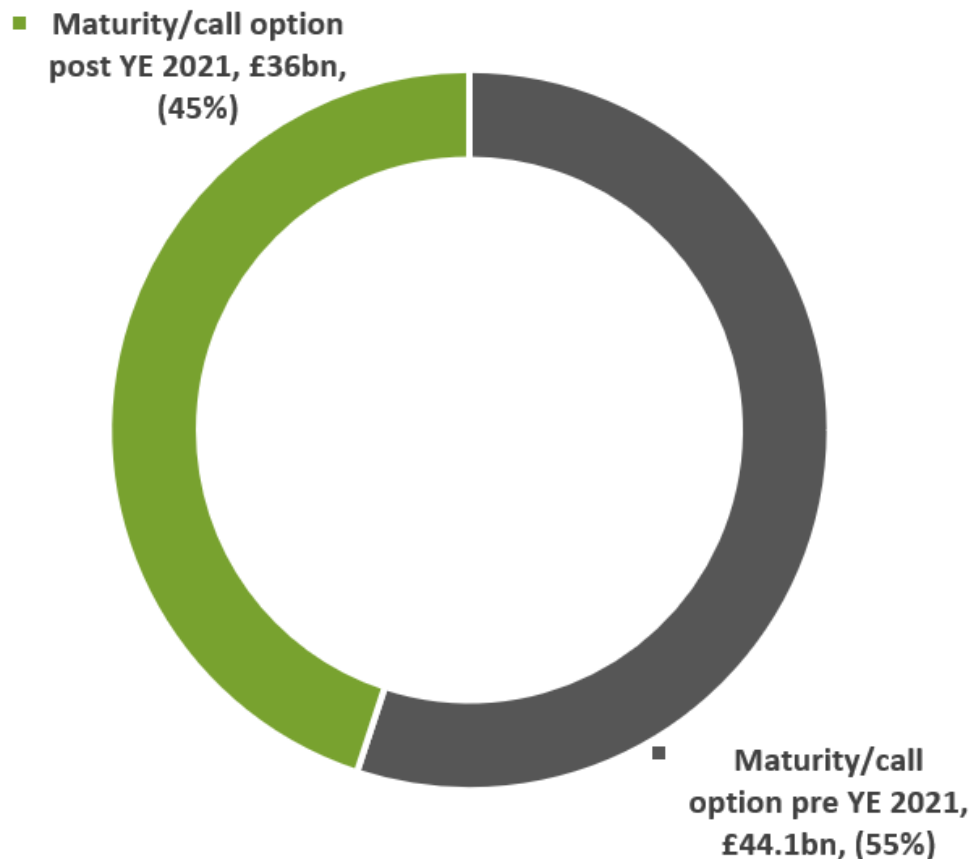
Placed issuance by main asset class



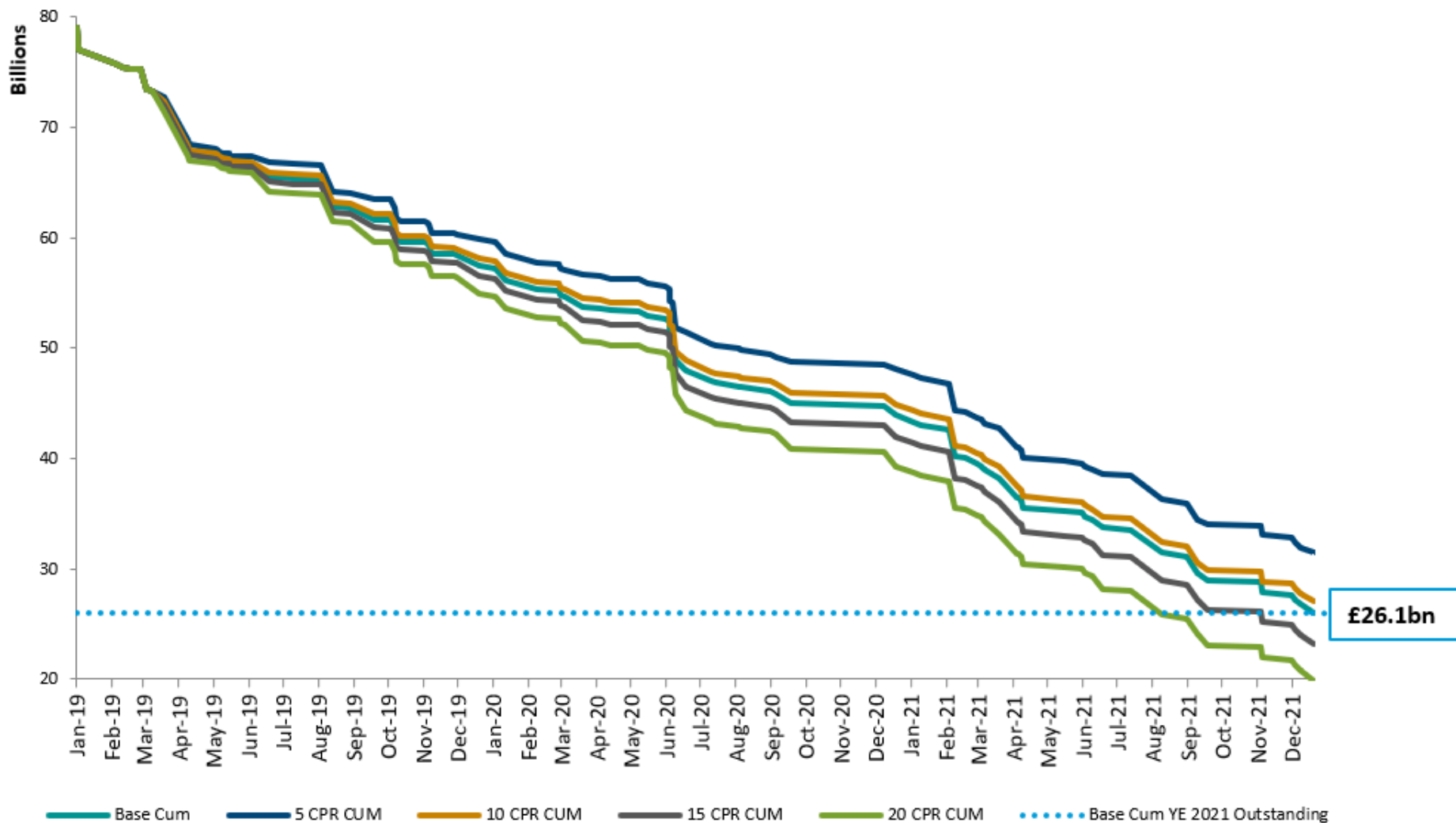
RMBS by type



RMBS rolling off by YE 2021
– assuming 0% CPR



The effect of mortgage redemptions (CPR) on the principal amount outstanding



Key risks and mitigants in Ibor transition for securitisation

Risk	Mitigant
Long maturities	Amortisation and issuer calls incentivised by step-up margins
Optional nature of calls	Certainty of exercise perceived differently for bank issuers than for non-bank issuers
Basis risk	SONIA more closely correlated with bank base rate than Libor
Investor demand	Adjustment underway
Cash management	Adjustment underway
Pricing and trading infrastructure	Adjustment underway
Libor-linked underlying in B2L and non-prime sectors	Further work required

- Stem flow of new issues linked to Libor, to reduce legacy stock
- Further develop investor base
- Facilitate and strengthen market infrastructure which supports pricing and trading based on SONIA
- Consider move from Libor-linked consumer assets, especially B2L and non-prime mortgages
- Engage in dialogue with regulators and through trade associations

- [AFME webpage on Ibor Transition](#)
- [Bank of England: transition to sterling risk-free rates from Libor](#)
- [Working group on euro risk-free rates](#)
- [US Alternative Reference Rates Committee](#)
- [IBOR Global Benchmark Survey 2018 Transition Roadmap](#)

The Association for Financial Markets in Europe advocates stable, competitive and sustainable European financial markets that support economic growth and benefit society.

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